

I wouldn't say they are counter to the fundamentals, but rather that they are overpricing one particular outcome. For example, European sovereign debt may be fairly priced if you have a strong conviction that the outcome will be a federated Europe in which the German taxpayer will pick up the bills. If you anticipate a less optimistic scenario, then current prices may not make much sense. A few weeks ago, Spanish debt was trading at only 150 basis points over Germany.

So the market is pricing in a solution.

Yes, it's pricing a solution that may not happen; 150 basis points is not zero, but it is a lot closer to zero than the current 1,000-plus basis point premium on Greek debt. The relatively small premium for Spanish debt reflects a high degree of confidence in a particular outcome. I am not suggesting the more negative outcome is more likely, but simply that there is more uncertainty than implied by the current moderate premium.

In a situation like this where there is a binary outcome that is highly uncertain, but the probabilities are different from what the market seems to be pricing, do you participate in the market?

That is the main part of what I do. I look for deviations between the fundamental probability distribution I perceive and the probability distribution priced in by the market.

Being short Spanish debt is a trade where the downside is limited to the annual carry, but the upside can be very substantial. It seems that an inherent characteristic of most of your trades is that they have an asymmetric quality—the maximum loss is limited, but the profit potential is open-ended.

Yes, having a positive skew is very important. It is not about being right all the time. Most good macro traders will be right only about half the time or even less.

Is trading a skill that can be taught?

It can't be taught, but it can be learned.

What do you mean by that?